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9M 2026 Gambling Market & Regulatory Brief · Published 22 Oct 2026 (Receita Federal, Análise da Arrecadação – Setembro 2026; SPA/LAI H1-26 data 17 Aug 2026; MP 1.394/2026 of 25 Sep 2026) · Currency BRL (R$) — tables in R$ billions unless stated; ~USD alongside at USD/BRL 5.07

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THE ONE-LINE VERDICT

Brazil's regulated fixed-odds market delivered a record 9M 2026 on paper — R$11.12bn (~$2.19bn) of federal collections from gambling and betting (+55% YoY) and an estimated ~R$30bn (~$5.9bn) of licensed GGR — and then ceased to exist: MP 1.394/2026 (25 Sep) prohibited all sports betting and online gaming, extinguished all 87 authorisations without compensation and took every one of the 188 licensed brands offline on 6 Oct. With Lula re-elected on 25 Oct and the MP still in force, the only routes back are the STF (ADI 8027, public hearing 3 Nov) or Congress (initial deadline 23 Nov, realistically Feb 2027); the credible reopening case is a narrower, higher-taxed, ad-free re-regulation in 2027, not a return to the 2025 regime.

FEDERAL COLLECTIONS, GAMBLING & BETTING (INCL. CAIXA) 9M-26	LICENSED FIXED-ODDS GGR H1-26 (SPA VIA LAI)	DEPOSITS INTO LICENSED PLATFORMS H1-26 (SIGAP)	LICENSED OPERATORS / BRANDS	GGR LEVY RATE (OPERATOR)	GOVT-BOOKED REVENUE LOSS FROM BAN
R$11.12bn (~$2.19bn)	**R$20.07bn (~$3.96bn)**	**R$88.5bn (~$17.5bn)**	**87 / 188 → 0**	**13% of GGR (2026)**	**R$1.54bn 2026 / R$5.15bn 2027**
+55.1% YoY; already 11.7% above FY2025	+15.3% YoY (+6.2% on SIGAP restated base)	−12.4% YoY; −42% from Oct-25 peak by June	All authorisations extinguished; sites offline from 6 Oct 2026	+1pp vs 2025; 14% 2027, 15% 2028 (LC 224/2025)	(~$304m / ~$1.02bn); prohibition assumed through 2028

1 EXECUTIVE SUMMARY

- **The market was banned mid-flight.** MP 1.394/2026 (DOU extra edition, 25 Sep 2026) prohibits the exploitation, offer, intermediation and advertising of fixed-odds betting — sports and online games, physical and virtual — nationwide, explicitly including offshore agents serving persons in Brazil and state/district concessions. All 87 federal authorisations are extinguished within 30 days with no refund of the R$30m (~$5.9m) outorga and no indemnity; other lottery modalities are untouched.
- **Wind-down ran on a 20-day clock.** New deposits were blocked on 25 Sep; voluntary withdrawals closed 5 Oct 23:59; sites and apps went dark 6 Oct; operators reported residual balances by CPF to banks on 6–7 Oct; banks refunded 9–14 Oct; Caixa Econômica Federal became refund intermediary from 15 Oct. The Ministry of Finance put player balances at R$1.7bn (~$335m) at the time of the MP.
- **Record fiscal take before the cut-off.** Receita Federal (RFB) collected R$11.116bn (~$2.19bn) from 'exploração de jogos de azar e apostas' (incl. Caixa lotteries) in Jan–Sep 2026, +55.1% vs R$7.167bn (~$1.41bn) in 9M-25 and 11.7% above the whole of 2025 (R$9.95bn, ~$1.96bn). September was R$1.206bn (~$238m), +3.7% MoM but −7.9% YoY; the 2026 monthly average is R$1.235bn (~$244m) and Apr–Jul ran ~R$1.4bn (~$276m)/month before a 20.5% August drop.
- **Fixed-odds supplied R$6.86bn (~$1.35bn) of that 9M total**: R$3.72bn (~$734m) of statutory GGR-levy allocations (sport, tourism, public security, education, social security, health) plus R$3.14bn (~$619m) of IRPJ/CSLL/PIS/COFINS, per RFB's Marcelo Gomide — roughly 62% of the sector's federal take, with Caixa lottery codes the rest. Effective federal take on fixed-odds GGR is ~23% (est.) before municipal ISS.
- **GGR: R$37bn (~$7.3bn) in 2025; R$20.07bn (~$3.96bn) in H1-26, +15.3%** on SPA data released via LAI to BNLData (17 Aug). Stakes were R$410.85bn (~$81.0bn) and prizes R$377.86bn (~$74.5bn) — a 92.0% RTP / 4.9% hold on turnover that reflects heavy prize recycling (casino) rather than cash loss. A later SIGAP extract (8 Sep) shows H1-26 at R$20.28bn (~$4.0bn) but restates H1-25 to R$19.09bn (~$3.77bn), i.e. growth of only +6.2%: the regulator's own datasets are not reconciled.
- **9M-26 licensed GGR ≈ R$29.5–30.3bn (~$5.8–6.0bn) [modelled].** SPA has not published Q3; RFB allocations (R$3.72bn 9M less R$2.49bn H1 = R$1.23bn in Q3) imply Q3 GGR of R$9.5–10.2bn (~$1.9–2.0bn) at the 12–13% levy — flat on Q2 (~R$10.2bn). Monthly GGR peaked at R$4.29bn (~$846m) in Jan-26, fell to ~R$2.8bn (~$552m) in Feb–Mar and was R$3.34bn (~$659m) in the World Cup month of June. This was a maturing market annualising ~R$40bn (~$7.9bn), not the 'explosion' the MP's preamble invokes.
- **Deposits were already shrinking.** SIGAP deposits were R$88.48bn (~$17.5bn) in H1-26, −12.4% vs R$100.99bn (~$19.9bn); January R$18.6bn (~$3.67bn) slid to R$13.1bn (~$2.58bn) by June, −42% from the Oct-25 peak. Jan-25–Jun-26 deposits exceeded R$318bn (~$62.7bn), R$582m (~$115m) a day. GGR per operator fell 2.6% to R$241.5m (~$47.6m) and GGR per brand ~12.5% (brmkt.co on SIGAP) as supply outgrew demand.
- **Online-only in practice.** Licensed fixed-odds was ~100% digital (no material retail fixed-odds estate was built), so 'online penetration' of the banned segment is effectively total; retail gambling is Caixa's lottery network, whose sales were R$12.19bn (~$2.40bn) in H1-26 (+5.4%), with social allocations R$5.53bn (~$1.09bn, +25%) and prize IR R$1.37bn (~$270m, +31.8%) — the only regulated gambling flow still live.
- **Participation was mass-market and low-ticket.** 30.9m unique CPFs were active over Jan-25–Jun-26 (+9.8% vs 28.1m); H1-26 added 2.77m; average GGR per bettor R$649.60 (~$128) per half-year, i.e. R$108 (~$21)/month, +5.0%; 68.5% male; 72% aged ≤40. More than 5m people are excluded by rule: ~3m Bolsa Família/BPC beneficiaries, 1.2m self-excluded, ~0.8m Novo Desenrola debtors (Finance Minister Durigan, 13 Aug).
- **Licensing regime (now suspended):** Law 13.756/2018 + Law 14.790/2023, regulated by the Secretaria de Prêmios e Apostas (SPA/MF). Federal authorisation cost R$30m (~$5.9m) per operator for up to three brands over five years, required a Brazilian-domiciled entity with a ≥20% Brazilian shareholder [framework; not re-verified this session], daily/monthly SIGAP reporting and a monthly fiscalisation fee

(~R$115m/yr sector-wide, ~$23m, per the MP's own fiscal note). The count went from 78 operators/182 brands (H1-25) to 87/188 (H1-26); SPA was consulting (CP 3/2026, 27 Jul–9 Sep) on a revised authorisation procedure weeks before the ban.

- **Tax regime:** operator levy of 12% of GGR (2025) stepping to 13% (2026), 14% (2027) and 15% (2028) under LC 224/2025 (26 Dec 2025), on top of IRPJ/CSLL/PIS/COFINS and municipal ISS; players pay 15% IRPF on net annual winnings above the exemption threshold (R$28,467.20 p.a. per secondary source); lottery prizes 30% at source. An 18%-from-Oct-25 rate (MP 1.303/2025) was dropped by the rapporteur; PL 5.162/2026 now proposes a 'CIDE-Bet' of 12–20% progressive on GGR. Tax direction was up before prohibition.
- **Operator landscape (demand share, Blask — secondary, not GGR):** Betano 26.5% Jan–Aug 26 (33.4% in September), bet365 10.7%, Superbet 7.7%, Sportingbet/Entain 6.1%; top-3 44.9%, top-10 69.2%; licensed/onshore brands held ~95% of demand pre-ban. 125 of 158 analysed licensed brands were Brazil-only (~42% of the revenue baseline) and have no fallback; Flutter guided −$70m revenue / −$20m adj. EBITDA for 2026 from the shutdown. Third-party GGR estimates (Blask CEB $8.87bn Jan–Aug; Bradesco BBI $17bn 2025) run 1.7–2.5x above regulator data — use SPA/RFB figures.
- **Payments were the market's engine and are now its chokepoint.** Pre-ban rules (Portaria SPA/MF 615/2024) confined deposits/withdrawals to Pix, TED and debit/prepaid cards in the bettor's own name, banning credit cards, cash, boleto and crypto [framework; not re-verified this session]. The MP bars banks, payment institutions and arrangement schemes from processing any fixed-odds transaction except wind-down refunds — this, not domain blocking, is what gives the ban teeth, and it pushes residual demand to crypto and third-party rails.
- **Responsible gambling and advertising were tightening before the ban:** Portaria 1.964/2026 (Jul-26) mandated Ministry of Finance health warnings on ≥10% of ad space; SPA suspended 14 sites of six operators on 18 Aug for SIGAP data failures; ~25,000 illegal domains were blocked in 2025; 1% of the levy funds a SUS gambling-harm telehealth service (R$24.19m, ~$4.8m, in H1-26). The MP now bans all communication, marketing and sponsorship (c.R$1bn, ~$197m, of football sponsorships affected) with administrative fines reported at up to R$2bn (~$394m) [secondary].
- **The government has costed the ban and assumes it lasts.** The MP's Exposição de Motivos books revenue losses of R$1.541bn (~$304m) in 2026, R$5.150bn (~$1.02bn) in 2027 and R$5.330bn (~$1.05bn) in 2028, plus R$268.8m (~$53m) of fiscalisation fees over three years, and states there is no outorga loss because fees 'were already fully paid'. BNLData estimates up to R$18bn (~$3.55bn) foregone by statutory beneficiaries over the remaining licence terms; a R$1.9bn (~$375m) budget reserve absorbs 2026.
- **Political direction: the ban's sponsor won.** Published nine days before the first round, the MP was followed by Lula's re-election on 25 Oct (51.79% vs Flávio Bolsonaro 48.21%, TSE); the PT base is mobilising against any reversal. In Congress 99 amendments were filed by 13 Oct, but the mixed committee (13+13, designated 30 Sep) was still 'awaiting installation' on 29 Oct; the MP enters urgency on 9 Nov, the initial deadline is 23 Nov, extendable 60 days with the Dec–Jan recess suspending the clock — the decisive window is Feb/Mar 2027 (est.).
- **Judicial route:** ANJL's ADI 8027 sits with Justice Luiz Fux, who held a 34-entity public hearing on 3 Nov 2026 (clubs, Health and Justice ministries, Abras, Febralot, industry); the AGU has asked the Court to keep the ban and Fux is expected to leave the MP in force while he deliberates. No injunction timetable has been given.
- **Read-through for B2Tech:** Brazil has gone from the world's largest newly regulated online market (R$37bn GGR, 30.9m CPFs, 87 licensees) to a zero-revenue jurisdiction with sunk licence capital of up to ~R$2.6bn (~$0.5bn, est.) stranded in the Treasury. Keep the Brazilian entity, SIGAP integration and licensing file warm; do not deploy capital until the Congress/STF outcome is known; model any re-entry on a stricter regime (sports-only or casino carve-out, ≥18–20% levy, total ad ban, deposit caps, new outorga) and on the lottery B2G/B2B channel, which is the only regulated segment still trading.

2 MARKET SUMMARY

BRAZIL — R$ (BN UNLESS STATED); ~USD AT USD/BRL 5.07	VALUE (R$)	~USD	YOY / Δ	PERIOD · BASIS · SOURCE
MARKET SIZE (REGULATOR DATA)				
Fixed-odds GGR FY2025	R$37.0bn	~$7.3bn	first full year	Jan–Dec 2025 · GGR · SPA/MF (CGS Rio, Mar-26)
Fixed-odds GGR H1-26 (SPA via LAI)	**R$20.07bn**	**~$3.96bn**	**+15.3%**	**vs R$17.4bn H1-25 · GGR · SPA via BNLData LAI (Aug-26)**
Fixed-odds GGR H1-26 (SIGAP extract 8-Sep-26)	R$20.28bn	~$4.00bn	+6.2%	vs restated R$19.09bn H1-25 · SIGAP via CNN/brmkt.co/STF filing
Fixed-odds GGR 9M-26 (estimate)	~R$29.5–30.3bn	~$5.8–6.0bn	n/a	modelled from RFB allocations; Q3 not published by SPA
Stakes (turnover) H1-26	R$410.85bn	~$81.0bn	n/a	SPA via LAI · includes recycled prizes/bonuses
Prizes paid H1-26	R$377.86bn	~$74.5bn	n/a	RTP 92.0% of stakes
Deposits H1-26	R$88.48bn	~$17.5bn	−12.4%	vs R$100.99bn · SIGAP
Sports-betting GGR Q1-26 (BNLData analysis)	R$7.6bn	~$1.50bn	+1.7%	definition not verifiable; implied online-games residual ~R$2.3bn [unverified]
Caixa lottery sales H1-26	R$12.19bn	~$2.40bn	+5.4%	sales/stakes, NOT GGR · Caixa via BNLData
Online share of licensed fixed-odds	~100%	n/a	n/a	no material retail fixed-odds estate; lotteries mainly retail (lotéricas)
PARTICIPATION				
Unique active CPFs (Jan-25–Jun-26)	30.9m	n/a	+9.8%	vs 28.1m · cumulative 18 months · SPA via LAI
GGR per bettor, H1-26	R$649.60 / semester	~$128	+5.0%	R$108 (~$21) per month
Excluded by rule	>5m people	n/a	n/a	3m Bolsa Família/BPC; 1.2m self-excluded; 0.8m Novo Desenrola (Durigan, Aug-26)
TAX & FISCAL				
Operator GGR levy	12% → 13% → 14% → 15%	n/a	+1pp p.a.	base: GGR · 2025/2026/2027/2028 · Law 14.790 + LC 224/2025
Federal collections, gambling & betting 9M-26	**R$11.116bn**	**~$2.19bn**	**+55.1%**	**vs R$7.167bn · incl. Caixa lotteries · RFB (22 Oct 2026)**
of which fixed-odds statutory allocations	R$3.72bn	~$734m	n/a	12–13% GGR levy · RFB (Gomide)
of which fixed-odds federal taxes	R$3.14bn	~$619m	n/a	IRPJ/CSLL/PIS/COFINS · RFB
fixed-odds total 9M-26	R$6.86bn	~$1.35bn	n/a	~62% of sector collections
September 2026 collections	R$1.206bn	~$238m	+3.7% MoM / −7.9% YoY	vs R$1.163bn Aug-26 and R$1.310bn Sep-25
FY2025 collections	R$9.95bn	~$1.96bn	n/a	incl. lotteries · RFB
Govt-booked loss from MP 1.394	R$1.541bn / R$5.150bn / R$5.330bn	~$304m / ~$1.02bn / ~$1.05bn	2026 / 2027 / 2028	MP Exposição de Motivos §12
Player tax	15% IRPF	n/a	n/a	net annual winnings above exemption · Law 14.790 art. 31
LICENSING				
Authorised operators / brands (H1-26)	87 / 188	n/a	+11.5% / +3.3%	vs 78 / 182 H1-25 · SPA
Authorisation fee (outorga)	R$30m	~$5.9m	n/a	per operator, ≤3 brands, 5 years · non-refundable under MP
Fiscalisation fee (sector, implied)	~R$115.2m / yr	~$22.7m	n/a	MP fiscal note (R$38.4m lost Sep–Dec 26)
Status from 6 Oct 2026	**0 operators live**	**n/a**	**−100%**	**all authorisations extinguished ≤30 days from 25 Sep 2026**

3 DEEP-DIVE — FIXED-ODDS: SPORTS BETTING & ONLINE GAMING (THE BANNED CORE)

A ~R$40bn-a-year (~$7.9bn) licensed market that had plateaued — deposits −12%, GGR flat in Q3 — before being switched off on 6 October.

The regulator's own numbers describe a large but no longer hyper-growth market. The SPA reported R$37bn (~$7.3bn) of GGR for 2025, the first full year under Law 14.790/2023 (presented at CGS Rio on 2 March 2026 and corroborated by iGB and Meio & Mensagem). Data obtained from the SPA under the Access to Information Law by BNLData (17 Aug 2026) put H1-26 GGR at R$20.07bn (~$3.96bn), +15.3% on R$17.4bn (~$3.43bn), on stakes of R$410.85bn (~$81.0bn) and prizes of R$377.86bn (~$74.5bn) — a 92.0% return-to-player and a 4.9% hold on turnover, which signals heavy prize recycling typical of casino-weighted play rather than cash loss of that order. The monthly profile matters for anyone modelling seasonality: January was the peak at R$4.29bn (~$846m) because the state and Brasileirão calendars were pulled forward for the World Cup; February and March fell to ~R$2.8bn (~$552m); the recovery to R$3.34bn (~$659m) in June, a month with 72 World Cup matches, left June slightly below the semester average of R$3.35bn (~$661m). The World Cup did not move the needle — demand was structural and casino-driven, not event-driven.

The regulator's datasets do not reconcile and the gap is material. A second SIGAP extract dated 8 September 2026 (released under LAI to CNN Brasil and brmkt.co, and filed with the STF) shows H1-26 GGR of R$20.28bn (~$4.0bn) but restates H1-25 to R$19.09bn (~$3.77bn), cutting growth to +6.2%. The R$1.7bn base-year difference is most plausibly late or corrected SIGAP filings as compliance matured during 2025; we quote both and treat underlying growth as somewhere between +6% and +15%. The same SIGAP extract shows deposits of R$88.48bn (~$17.5bn) in H1-26, −12.4% versus R$100.99bn (~$19.9bn), sliding from R$18.6bn (~$3.67bn) in January to R$13.1bn (~$2.58bn) in June — 42% below the October 2025 peak. Cumulative deposits from January 2025 to June 2026 exceeded R$318bn (~$62.7bn), or R$582m (~$115m) a day. Rising GGR on falling deposits means operators were extracting more from a stagnant cash inflow; brmkt.co calculates GGR per operator −2.6% to R$241.5m (~$47.6m) and GGR per brand −12.5%, consistent with supply (188 brands) growing faster than demand.

No Q3 GGR has been published, but the Receita Federal's allocation data provides a usable proxy. The 12–13% statutory levy generated R$3.72bn (~$734m) over nine months against R$2.49bn (~$491m) in H1 (12.4% of H1 GGR, confirming the levy base), leaving R$1.23bn (~$243m) for Q3; at 12–13% that implies Q3 GGR of R$9.5–10.2bn (~$1.9–2.0bn), essentially flat on Q2 (~R$10.2bn). Our 9M-26 estimate is therefore R$29.5–30.3bn (~$5.8–6.0bn), an annualised ~R$40bn (~$7.9bn), about +8% on 2025. This is the figure to use when sizing what was lost; third-party numbers are much higher and should be discounted — BNLData's fact-check found Bradesco BBI's US$17bn 2025 GGR overstated the regulator figure 2.5x, and Blask's Jan–Aug CEB of $8.87bn sits ~1.7x above the SPA-implied ~R$27bn (~$5.3bn) for the same months.

The product split is the weakest data point. SPA has not published a sports/online-games breakdown for 2026. BNLData's analysis of Q1-26 puts 'sports betting' GGR at R$7.6bn (~$1.50bn), +1.7% YoY, with active accounts +11.7%; against total Q1 GGR of ~R$9.9bn that would leave only ~R$2.3bn for online games, which contradicts the industry convention that casino exceeds sportsbook in Brazil and could not be verified definitionally in this session — treat it as unverified. What is verifiable is the MP's own scope: it bans both 'apostas sobre eventos reais de temática esportiva' and 'eventos virtuais de jogos online', so the distinction is academic until a conversion law reinstates one of them.

Participation was broad, young and low-ticket. 30.9m unique CPFs transacted between January 2025 and June 2026 (+9.8% on the 28.1m in the comparable 2025 base), with 2.77m added in H1-26; average GGR per bettor was R$649.60 (~$128) per semester, R$108 (~$21) per month, +5.0%; 68.5% were men and 72% were aged 40 or under (31–40: 29%; 25–30: 22%; ≤24: 21%). More than 5m Brazilians were already excluded by rule — ~3m Bolsa Família/BPC beneficiaries, 1.2m self-excluded and ~0.8m enrolled in the Novo

FIXED-ODDS (LICENSED) — R$; ~USD AT 5.07	H1-26	H1-25	YOY / Δ	BASIS · SOURCE
GGR (SPA via LAI, BNLData 17-Aug-26)	**R$20.07bn (~$3.96bn)**	**R$17.4bn (~$3.43bn)**	**+15.3%**	**GGR · SPA/MF**
GGR (SIGAP extract 8-Sep-26)	R$20.28bn (~$4.00bn)	R$19.09bn (~$3.77bn)	+6.2%	base restated · SIGAP
Stakes (turnover)	R$410.85bn (~$81.0bn)	n/a	n/a	incl. recycled prizes
Prizes paid	R$377.86bn (~$74.5bn)	n/a	n/a	RTP 92.0%; hold 4.9% of stakes
Deposits (SIGAP)	R$88.48bn (~$17.5bn)	R$100.99bn (~$19.9bn)	−12.4%	cash in
Monthly GGR — Jan-26 (peak)	R$4.29bn (~$846m)	n/a	n/a	calendar pulled forward
Monthly GGR — Feb/Mar-26	~R$2.8bn (~$552m)	n/a	n/a	trough
Monthly GGR — Jun-26 (World Cup)	R$3.34bn (~$659m)	n/a	n/a	below R$3.35bn average
Monthly deposits — Jan-26 / Jun-26	R$18.6bn / R$13.1bn (~$3.67bn / ~$2.58bn)	n/a	−42% vs Oct-25 peak	SIGAP
Statutory allocations (levy)	R$2.49bn (~$491m)	n/a	12.4% of GGR	sport R$870m (~$172m)
Sports-betting GGR Q1-26 (BNLData)	R$7.6bn (~$1.50bn)	n/a	+1.7%	definition unverified
Unique CPFs (cumulative 18 months)	30.9m	28.1m	+9.8%	SPA via LAI
GGR per bettor (semester)	R$649.60 (~$128)	R$618.60 (~$122)	+5.0%	R$108 (~$21)/month
Authorised operators / brands	87 / 188	78 / 182	+11.5% / +3.3%	SPA
GGR per operator (brmkt.co)	R$241.5m (~$47.6m)	R$248m (~$48.9m)	−2.6%	SIGAP basis
Q3-26 GGR (estimate)	R$9.5–10.2bn (~$1.9–2.0bn)	n/a	~flat QoQ	from RFB allocations R$1.23bn
9M-26 GGR (estimate)	**R$29.5–30.3bn (~$5.8–6.0bn)**	**n/a**	**n/a**	**modelled; annualised ~R$40bn**
FY2025 GGR	R$37.0bn (~$7.3bn)	n/a	n/a	SPA/MF
Licensed market from 6 Oct 2026	**R$0**	**n/a**	**−100%**	**MP 1.394/2026**

Desenrola debt programme. For an operator this was a mass-market, Pix-driven business where margin came from scale and casino mix, with a long tail of sub-scale brands; the economics favoured the top ten, who held ~69% of demand.

Since 6 October the licensed market has been zero. Blask's Brazil index fell to 155.3m in September 2026, back to its September 2022 level (158.7m), with ~95% of pre-ban demand having been onshore. Residual demand is now migrating to offshore sites via VPN and non-bank rails, to grey 'skill' and fantasy formats, and to Caixa products. For B2Tech the licensed sportsbook/casino opportunity is suspended rather than dead: the demand base, KYC/CPF infrastructure and Pix rails all survive, but any re-entry will be on terms set by a government that has just written the sector's fiscal contribution out of its 2027–28 budget.

4 DEEP-DIVE — LOTTERIES & RETAIL (CAIXA AND STATE LOTTERIES) — THE SURVIVING REGULATED SEGMENT

> **Caixa's lottery franchise (+5.4% sales, +25% social allocations in H1-26) is untouched by the MP and becomes the only taxed gambling flow from October.**

Caixa Econômica Federal operates the federal lottery monopoly (Mega-Sena, Quina, Lotofácil, Loteca and the other numerical and prognostic games) through its lotérica retail network and online channel. Sales reached R$12.19bn (~$2.40bn) in H1-26, +5.4% on R$11.57bn (~$2.28bn); Q2 was R$6.23bn (~$1.23bn), +2.6% YoY and +4.3% QoQ. Social allocations rose 25% to R$5.53bn (~$1.09bn): Social Security R$2.05bn (~$404m), public security R$1.16bn (~$229m), sport R$891m (~$176m), culture R$341m (~$67m) and education R$168m (~$33m); income tax on prizes added R$1.37bn (~$270m), +31.8%. Together with the R$2.49bn (~$491m) of fixed-odds allocations, the two regulated segments channelled ~R$9.4bn (~$1.85bn) to taxes and social purposes in six months. Note the basis: Caixa reports sales (stakes), not GGR, so lottery and betting figures cannot be summed as market size.

The Receita Federal's revenue codes show how the fiscal weight was split before the ban: of R$7.44bn (~$1.47bn) collected in H1-26 under the fixed-odds and lottery codes, R$4.96bn (~$978m, 66.6%) came from lotteries — with numerical prognostics alone 77.2% of the lottery block — and R$2.48bn (~$489m, 33.4%) from fixed-odds. BNLData also flagged that a contribution code on numerical lottery revenue jumped from R$11.6m in January to R$251.1m in June, growth concentrated from April, which suggests a new incidence or rate mid-year that the RFB has not explained; we could not verify the cause. Fixed-odds code revenue itself grew steadily from R$368.4m (~$73m) in January to R$513m (~$101m) in June, +39%.

The MP is explicit that 'as demais modalidades lotéricas autorizadas por lei não são abrangidas', so Caixa and state lotteries continue; what it does close is the state-concession loophole — the prohibition expressly reaches 'concessões, permissões e autorizações estaduais e distritais' for fixed-odds, ending the parallel state fixed-odds licences (the Loterj model) that had competed with the federal regime. Post-ban, federal gambling collections will consist almost entirely of Caixa lottery flows: on the H1 run-rate of ~R$0.8bn (~$164m) a month, Q4-26 should bring ~R$2.5bn (~$493m), taking FY2026 to ~R$13.5–14.0bn (~$2.7–2.8bn, est.), which is consistent with the government's own R$1.541bn loss figure against the pre-ban R$14.6–15.5bn projection.

Retail fixed-odds never materialised. Law 14.790 permits physical channels, but the 87 licensees built an online-only business; the only large gambling retail estate in Brazil is Caixa's lotérica network, and retailers' body FEBRALOT has asked the STF to be heard in ADI 8027 to argue for 'concorrência no mercado de loterias'. For B2Tech the implication is that lottery technology and content (instant/passive games, sports-prognostic products, retail terminals and digital lottery distribution for Caixa or state lotteries) is the one regulated channel open for business, and that a politically palatable re-channelling of betting demand through the lotérica network under Caixa or state-lottery concessions is a live scenario to monitor.

LOTTERIES — R$; ~USD AT 5.07	H1-26	H1-25	YOY / Δ	BASIS · SOURCE
Caixa lottery sales	**R$12.19bn (~$2.40bn)**	**R$11.57bn (~$2.28bn)**	**+5.4%**	**sales (stakes), not GGR · Caixa via BNLData**
Q2-26 sales	R$6.23bn (~$1.23bn)	n/a	+2.6% YoY / +4.3% QoQ	Caixa
Social allocations	R$5.53bn (~$1.09bn)	R$4.42bn (~$872m)	+25%	Caixa
Social Security	R$2.05bn (~$404m)	n/a	n/a	
Public security	R$1.16bn (~$229m)	n/a	n/a	
Sport	R$891m (~$176m)	n/a	n/a	
Culture / Education	R$341m / R$168m (~$67m / ~$33m)	n/a	n/a	
Income tax on prizes	R$1.37bn (~$270m)	n/a	+31.8%	30% at source
RFB lottery-code collections	R$4.96bn (~$978m)	n/a	n/a	66.6% of fixed-odds+lottery codes; numerical games 77.2% of block
RFB fixed-odds-code collections	R$2.48bn (~$489m)	n/a	n/a	Jan R$368.4m → Jun R$513m (+39%)
Fixed-odds + lottery codes total	R$7.44bn (~$1.47bn)	n/a	n/a	RFB via BNLData
Lottery-only run-rate post-ban (est.)	~R$0.8bn (~$164m) / month	n/a	n/a	implies Q4-26 ~R$2.5bn (~$493m)
Status under MP 1.394	**Lotteries continue**	**n/a**	**n/a**	**state fixed-odds concessions prohibited**

5 DEEP-DIVE — LICENSING & TAX REGIME — LAW 14.790/2023, LC 224/2025 AND EXTINCTION UNDER MP 1.394

> **A R$30m, five-year federal authorisation with a 13% GGR levy (rising to 15%) — all 87 of which were cancelled without refund 21 months after the market opened.**

Fixed-odds betting was created by Law 13.756/2018 and given its operating regime by Law 14.790/2023, with the Secretaria de Prêmios e Apostas of the Ministry of Finance (SPA/MF) as regulator and the licensed market opening on 1 January 2025. Authorisation cost R$30m (~$5.9m) per operator for up to three brands over five years and required a Brazilian-domiciled company with a Brazilian shareholder holding at least 20% of capital [framework provision; not re-verified this session]. Licensees had to transmit six file types to SIGAP — five daily (by 06:00 the following day) and one monthly covering wallet balances, operational-account balances, income tax withheld, statutory allocations and GGR — and pay a monthly fiscalisation fee that the MP's fiscal note values at R$115.2m (~$22.7m) a year sector-wide. The count rose from 78 operators/182 brands in H1-25 to 87/188 in H1-26; the SPA enforced reporting discipline (14 sites of six operators suspended on 18 August for missing SIGAP data) and was, as late as 27 July–9 September 2026, running Public Consultation 3/2026 on a revised authorisation procedure — a regulator preparing a second licensing wave, not a shutdown.

The tax stack was moderate by European standards but on a ratchet. Law 14.790 set a 12% levy on GGR, allocated by statute to sport (the largest share — R$870m of the R$2.49bn in H1-26, ~35%), tourism, public security, education, social security, health (1%, funding the SUS gambling-harm telehealth service) and civil society. LC 224/2025 of 26 December 2025 raised it to 13% for 2026, 14% for 2027 and 15% for 2028 — a compromise after the government's MP 1.303/2025 attempt to jump to 18% from October 2025 was stripped out by the rapporteur and the Senate CAE had endorsed a 15%/18% path. On top sit IRPJ, CSLL, PIS/COFINS and municipal ISS; players owe 15% IRPF on net annual winnings above the exemption threshold (R$28,467.20 p.a. per secondary source), and lottery prizes are taxed 30% at source. The RFB's 9M-26 split — R$3.72bn (~$734m) of levy allocations and R$3.14bn (~$619m) of federal taxes — shows corporate taxes running at ~84% of the levy, so the effective federal take on fixed-odds GGR was roughly 23% (est., R$6.86bn on ~R$30bn) before ISS. Even with the market closed, Congress is advancing PL 5.162/2026, a 'CIDE-Bet' at progressive 12–20% of GGR; it is irrelevant unless the market reopens, but it signals where a re-regulated levy would land.

MP 1.394 extinguishes every authorisation within 30 days of 25 September 2026 'sem direito à devolução de outorga ou indenização', while preserving the licensees' regulatory, tax, AML/CFT, sports-integrity, reporting and five-year data-retention obligations so that past operations remain traceable. The Exposição de Motivos states that there is no fiscal loss on outorgas because the amounts due 'já foram integralmente pagos' — in other words up to ~R$2.6bn (~$0.5bn, est., 87 × R$30m) of licence capital stays with the Treasury. The only licensing-related losses the government recognises are fiscalisation fees: R$38.4m (~$7.6m) for September–December 2026 and R$115.2m (~$22.7m) in each of 2027 and 2028, R$268.8m (~$53m) over the triennium.

For an operator the lesson is about regulatory counterparty risk rather than price. Brazil's regime was attractive on paper — a one-off fee, no turnover tax, a 13% levy — and operators paid in full and built compliance stacks around SIGAP and Pix. The state then changed its mind by provisional measure, before the first five-year term was half over, and kept the money. Any re-entry case must price (i) a new outorga, (ii) a levy of at least 15% and plausibly 18–20%, (iii) ongoing fiscalisation fees, and (iv) the demonstrated possibility of extinction without compensation, which no contractual structure in Brazil can fully hedge.

LICENSING & TAX — RULES AND VALUES	RULE / VALUE	BASE · PERIOD	SOURCE · STATUS
Regulator	SPA/MF (Secretaria de Prêmios e Apostas, Ministry of Finance)	federal	Law 14.790/2023; market open 1 Jan 2025
Authorisation fee (outorga)	**R$30m (~$5.9m)**	**per operator · ≤3 brands · 5 years**	**non-refundable under MP 1.394**
Local-ownership rule	Brazilian entity; ≥20% Brazilian shareholder	entry	Law 14.790 [framework; not re-verified]
Operators / brands (H1-26)	87 / 188	vs 78 / 182 H1-25	all extinguished ≤30 days from 25 Sep 2026
Fiscalisation fee (sector, implied)	~R$115.2m / yr (~$22.7m)	monthly	MP fiscal note
GGR levy 2025	12%	GGR	Law 14.790 art. 30
GGR levy 2026 / 2027 / 2028	**13% / 14% / 15%**	**GGR**	**LC 224/2025 (26 Dec 2025)**
Failed 2025 proposal	18%	GGR from Oct-25	MP 1.303/2025 — dropped by rapporteur
Pending proposal	CIDE-Bet 12–20% progressive	GGR	PL 5.162/2026 — in committees (Nov-26)
Corporate taxes	IRPJ, CSLL, PIS/COFINS + municipal ISS	profit / revenue	standard regime
Player tax	15% IRPF	net annual winnings above exemption	Law 14.790 art. 31
Lottery prize tax	30%	at source	Caixa
Fixed-odds federal taxes 9M-26	R$3.14bn (~$619m)	IRPJ/CSLL/PIS/COFINS	RFB
Fixed-odds levy allocations 9M-26	R$3.72bn (~$734m)	12–13% of GGR	RFB
Effective federal take on GGR (est.)	~23%	9M-26	R$6.86bn / ~R$30bn est.
Sunk outorga capital (est.)	up to ~R$2.6bn (~$0.5bn)	87 × R$30m	retained by Treasury per MP note
Fiscalisation-fee loss booked	R$38.4m (Sep–Dec 26); R$115.2m p.a. 2027–28	(~$7.6m; ~$22.7m)	MP Exposição de Motivos §12

6 DEEP-DIVE — THE PROHIBITION — MP 1.394/2026: MECHANICS, FISCAL COST AND THE LEGAL/POLITICAL PATH

A pre-election provisional measure that the government has costed at R$5bn+ a year and intends to keep; its fate rests with a Congress that has not yet seated a committee and an STF that has so far declined to intervene.

MP 1.394, signed by President Lula in São Paulo on 25 September 2026 and published in an extra edition of the DOU the same day, prohibits throughout the national territory 'a exploração, a oferta, a intermediação e a publicidade de loterias de aposta de quota fixa, em meio físico ou virtual', including when offered by agents based abroad to persons in Brazil, and extends the prohibition to state and district concessions. It extinguishes all authorisations within 30 days without refund or indemnity, bars financial institutions, payment institutions and payment-arrangement schemes from processing any related transaction other than those strictly necessary for wind-down and refunds, bans all communication, advertising, marketing and sponsorship in physical and digital media, creates an Inter-institutional Committee (Finance, Justice, Central Bank and others) to police illegal offer and advertising, and provides administrative sanctions — reported at up to R$2bn (~$394m) [secondary] — for anyone who exploits, offers, intermediates or contributes to making fixed-odds bets available. The Ministry of Finance's transition timetable was: deposits blocked from 25 Sep; voluntary withdrawals until 5 Oct 23:59; sites and apps unavailable from 6 Oct; balances per CPF and origin bank accounts reported to financial institutions on 6–7 Oct; bank refunds 9–14 Oct; Caixa intermediating stuck refunds from 15 Oct. Player balances were R$1.7bn (~$335m) at the time.

The justification is social and sanitary, not fiscal, and the government has been candid about the cost. The Exposição de Motivos (signed by Justice Minister Wellington César Lima e Silva and Finance Minister Dario Durigan) argues that 21 months of regulated operation showed the Law 14.790 toolkit 'não têm sido capazes' of protecting health, consumers, children and household finances; it cites studies estimating the 2025 net transfer from households to platforms in the 'dezenas de bilhões de reais', links betting to gambling disorder and indebtedness, and concludes that 'o mero aperfeiçoamento dos mecanismos regulatórios não oferece resposta suficiente'. Under the budget-law requirement it books revenue losses of R$1.541bn (~$304m) in 2026, R$5.150bn (~$1.02bn) in 2027 and R$5.330bn (~$1.05bn) in 2028 — i.e. the Treasury's planning case is that prohibition lasts through 2028 — plus R$268.8m (~$53m) of fiscalisation fees. O Globo reported a R$1.9bn (~$375m) budget reserve that absorbs the 2026 hit; BNLData estimates up to R$18bn (~$3.55bn) foregone by statutory beneficiaries (sport, tourism, security, education, social security, health) over the remaining licence terms.

Politically the measure has been vindicated at the ballot box. It was published nine days before the first round; Lula trailed Flávio Bolsonaro in that round and won the 25 October run-off with 51.79% to 48.21% (64.26m to 59.83m votes, TSE). The governing coalition now treats the ban as a signature policy and left-wing groups are threatening street mobilisation against any reversal. In Congress the MP has a constitutional life of 60 days, extendable once by 60, with the 23 December–1 February recess suspending the count: the committee (13 deputies + 13 senators) was designated on 30 September but was still 'Aguardando Instalação' on 29 October; 99 amendments were filed by the extended 13 October deadline, many from the football lobby arguing that the blanket ban 'causa o rompimento de contratos publicitários que sustentam clubes'; the MP enters the urgency regime (locking the floor agenda) on 9 November and the initial deadline is 23 November. In practice the decisive vote or lapse falls in February–March 2027 (est.). If the MP lapses unconverted, Law 14.790 revives on paper, but the authorisations will already have been extinguished and Congress would need a legislative decree to settle the legal relations created in the interim — a vacuum that would itself delay any restart.

The judicial track is ADI 8027, filed by ANJL (joined by other associations) on 28 September and assigned to Justice Luiz Fux, who had already run two public hearings on betting in November 2024. The AGU asked the Court on 5 October to keep the ban in force; Fux has not granted an injunction and

MP 1.394/2026 — TIMELINE, VALUES AND PROCESS	DATE / VALUE	DETAIL · SOURCE
MP published	**25 Sep 2026**	**DOU extra edition; deposits blocked same day · gov.br/Fazenda**
Voluntary withdrawals	until 5 Oct 2026, 23:59	bettors withdraw from sites/apps · gov.br
Sites and apps offline	**from 6 Oct 2026**	**all 188 licensed brands · gov.br**
Balance reporting to banks	6–7 Oct 2026	per CPF, with origin account · gov.br
Bank refunds	9–14 Oct 2026	financial institutions · gov.br
Caixa refund backstop	from 15 Oct 2026	where banks cannot refund · gov.br
Player balances at ban	R$1.7bn (~$335m)	Ministry of Finance via Agência Brasil
Authorisations	extinguished ≤30 days; no outorga refund or indemnity	MP art.; EM §8/§13
Payments	banks/PIs/arrangements barred from processing except wind-down	MP; Cescon Barrieu
Advertising / sponsorship	fully banned, physical and digital	MP; EM §10
Maximum administrative fine	up to R$2bn (~$394m)	[secondary — Mixvale]
Revenue loss booked 2026 / 2027 / 2028	**R$1.541bn / R$5.150bn / R$5.330bn (~$304m / ~$1.02bn / ~$1.05bn)**	**EM §12**
Fiscalisation-fee loss	R$38.4m Sep–Dec 26; R$115.2m p.a. 2027–28 (~$7.6m; ~$22.7m)	EM §12
Budget reserve available 2026	R$1.9bn (~$375m)	O Globo via Brasil247
Beneficiary loss over licence terms	up to R$18bn (~$3.55bn)	BNLData estimate
Amendments filed	99 (deadline extended to 13 Oct)	focusgn / JCAM
Mixed committee	designated 30 Sep; not installed as of 29 Oct	Senate system via focusgn
Urgency regime / initial deadline	9 Nov 2026 / 23 Nov 2026 (+60 days; recess suspends)	Agência Brasil; focusgn
Effective decision window (est.)	Feb–Mar 2027	analyst estimate
ADI 8027 (ANJL) — rapporteur	Justice Luiz Fux; public hearing 3 Nov 2026, 34 entities	STF notícias
Presidential run-off	25 Oct 2026 — Lula 51.79% / F. Bolsonaro 48.21%	TSE

instead convened a public hearing for 3 November 2026, expanded at the AGU's request from 26 to 34 participants to include the Health and Justice ministries, Abras and other opponents alongside clubs, Febralot and industry bodies. The constitutional arguments — absence of urgency, breach of legal certainty and acquired rights, extinction without compensation, proportionality — are substantive, but the composition of the hearing and the Court's deference on a measure the government frames as public-health protection make a full suspension the less likely outcome; partial relief (for example on compensation or on the extinction of paid-for authorisations) is the realistic judicial upside, and no timetable has been given.

For B2Tech the scenario tree is: (A) conversion into law with amendments that reinstate a narrower activity — most plausibly sports betting without online casino/slots, a total ad ban, deposit or loss limits and a higher levy; (B) lapse of the MP and a relaunch of licensing under Law 14.790 with a new outorga; (C) STF partial relief that forces compensation or a phased transition; (D) entrenchment of full prohibition through 2028 as the budget assumes. Only (B) returns anything like the 2025 regime, and it is the scenario the re-elected government will work hardest to prevent.

7 DEEP-DIVE — OPERATOR LANDSCAPE & COMPETITIVE STRUCTURE

A Betano-led, top-heavy field — top-3 ~45%, top-10 ~69% of demand — with 125 Brazil-only brands that have nothing to fall back on.

By mid-2026 the licensed market comprised 87 operators running 188 brands, but demand was concentrated. Blask's demand-share panel (a traffic/engagement proxy, not GGR, and therefore indicative only) has Betano (Kaizen Gaming) at 26.5% for January–August 2026, rising from 21.6% in January to 31.6% in August and 33.4% in September; bet365 at 10.7% (10.1% in September), Superbet at 7.7% (8.2%) and Sportingbet (Entain) at 6.1% (6.0%). The top three held 44.9% of demand, the top four 50.9% on Blask's expenditure basis, and the top ten 69.2%, leaving a ~500-brand tracked tail to divide the remaining third. The 2025 trajectory is instructive: Betano grew its index 21% with 21.75% share, Superbet more than doubled (+109%) from a September 2023 launch, domestic brands such as 7Games and Estrela Bet captured regulated demand, while bet365 — in Brazil since 2016 — saw its index fall 4.2% in a growing market. Licensed, onshore brands accounted for ~95% of demand immediately before the ban; the regulated channel had, by that measure, won.

The ban's incidence is uneven. Of the 158 licensed brands Blask could analyse, 125 were Brazil-only, representing ~41.8% of the licensed revenue baseline (c.$3.14bn on Blask's inflated basis); these firms — many of them domestic 'bets' built since 2023, often club-sponsor brands — lose their entire business. The international groups absorb the hit: Flutter (which controls Betnacional through NSX) ceased sports betting and iGaming in Brazil and guided a ~$70m revenue and ~$20m adjusted-EBITDA reduction for 2026 if the closure persists to year-end; Entain, bet365, Kaizen and Superbet face revenue losses they have not fully quantified publicly. The sponsorship economy collapsed with them — football-club deals worth around R$1bn (~$197m) a year [secondary], with Flamengo the most exposed — and the 99 congressional amendments are largely the clubs' response.

Three structural observations matter for a would-be entrant. First, the pre-ban market was already consolidating: GGR per brand was falling (−12.5% in H1-26) while the tail expanded, so a reopened market will have been culled of sub-scale operators and will favour groups with balance sheets to pay a second outorga. Second, brand equity built through sponsorship — the dominant acquisition channel in Brazil — will be worth less if the conversion law retains the advertising ban, which shifts competition to product, payments UX and retention. Third, data quality on competitors is poor: Blask's CEB for January–August ($8.87bn) exceeds SPA-implied GGR for the same months by ~1.7x and Bradesco BBI's US$17bn 2025 figure by 2.5x; share rankings are usable, absolute values are not.

B2B suppliers are not insulated. Sportsbook and content providers with Brazilian exposure (Betby, for example, reported Q3 platform GGR +33% YoY globally, most of it pre-dating the ban) face contract terminations, receivables risk against Brazil-only licensees and, for those that localised content and payments, stranded integration costs. For B2Tech the competitive read is that re-entry would be into a field of fewer, larger, mostly international operators — a harder fight for share than 2025, but with cheaper acquisition inventory and a demonstrated preference by Brazilian players for onshore, Pix-native brands.

DEMAND SHARE (BLASK, SECONDARY) AND BAN EXPOSURE	JAN–AUG 26 SHARE	SEP-26 SHARE	NOTE · SOURCE
Betano (Kaizen)	**26.5%**	**33.4%**	**21.6% Jan → 31.6% Aug · Blask**
bet365	10.7%	10.1%	index −4.2% in 2025 while market grew · Blask
Superbet	7.7%	8.2%	index +109% in 2025 · Blask
Sportingbet (Entain)	6.1%	6.0%	Blask
Top-3 / Top-4 / Top-10	44.9% / 50.9% / 69.2%	n/a	Blask BAP / CEB
Onshore (licensed) share of demand	~95%	94.8% on 25 Sep	Blask
Licensed operators / brands	87 / 188	0 live from 6 Oct	SPA
Brands analysed / Brazil-only	158 / 125	n/a	41.8% of revenue baseline · Blask via TheGamblest
Flutter 2026 impact	−$70m revenue / −$20m adj. EBITDA	n/a	company guidance via focusgn
Football sponsorship exposure	~R$1bn (~$197m) p.a.	n/a	[secondary — Latin Times]
Blask Brazil index	n/a	155.3m (= Sep-22 level 158.7m)	Blask
Blask CEB Jan–Aug 26 vs SPA-implied GGR	$8.87bn vs ~R$27bn (~$5.3bn)	n/a	Blask overstates ~1.7x — use shares only

8 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & ENFORCEMENT

Pix built the market; the MP weaponises the same rails to shut it, after a year in which exclusions (5m+), ad warnings and SIGAP enforcement had already tightened.

Brazil's licensed market was the most payments-centric in the world. The SPA's payment ordinance (Portaria SPA/MF 615/2024) confined deposits and withdrawals to Pix, TED and debit/prepaid cards from accounts in the bettor's own name, prohibiting credit cards, cash, boleto and crypto-assets [framework provision; not re-verified this session]; in practice Pix carried the overwhelming majority of flows. SIGAP recorded deposits of over R$318bn (~$62.7bn) between January 2025 and June 2026 — R$582m (~$115m) a day — and R$220.6bn (~$43.5bn) in calendar 2025, with the H1-26 run-rate down 12.4% YoY. The MP now prohibits 'instituições financeiras, instituições de pagamento e instituidores de arranjos de pagamento' from processing fixed-odds transactions except those strictly necessary for closure and refunds, and makes banks the agents of restitution (balances by CPF reported 6–7 Oct, refunds 9–14 Oct, Caixa backstop from 15 Oct). Cescon Barrieu's analysis for financial institutions highlights direct operational duties and liability on the payments sector. This is the enforcement mechanism that domain blocking never achieved: offshore operators can be reached by VPN, but a Pix transaction to a known betting merchant cannot. The predictable response — third-party Pix intermediaries, crypto on/off-ramps, 'gift-card' schemes — is where the Central Bank, COAF and the new Inter-institutional Committee will concentrate.

Responsible-gambling policy had hardened well before prohibition. Beneficiaries of Bolsa Família and BPC (~3m registered bettors) were barred by rule; 1.2m people had self-excluded; ~0.8m participants in the Novo Desenrola debt-renegotiation programme were locked out for at least six months — more than 5m excluded in total, per Finance Minister Durigan (13 Aug 2026). The health share of the levy (R$24.19m, ~$4.8m, in H1-26) funds a Ministry of Health telehealth service for gambling-related problems, delivered with Hospital Sírio-Libanês under a R$2.94m contract and scaled up after demand exceeded the initial 600 monthly consultations. The SPA's monthly SIGAP file captures wallet balances and withheld income tax per bettor, giving the state a complete ledger of individual play — which is precisely what allowed the MP's refund mechanics to be designed in days.

Advertising rules followed the same arc. Portaria SPA/MF 1.231/2024 restricted targeting of minors, 'easy money' messaging and required responsible-gambling notices, with CONAR self-regulation alongside [framework; not re-verified]; on 14 July 2026 Portaria 1.964/2026 added mandatory Ministry of Finance warnings occupying at least 10% of every advertisement, described in the press as 'tobacco-style'. The MP then banned all 'ações de comunicação, publicidade, propaganda, marketing e patrocínio' outright. Enforcement capacity was real: the SPA reported ~25,000 illegal domains blocked during 2025 (15,000 by mid-year), suspended 14 sites of six operators on 18 August 2026 for SIGAP failures, and the MP adds administrative fines reported at up to R$2bn (~$394m) [secondary] and brings offshore agents expressly within scope.

The commercial implication for B2Tech is twofold. The compliance assets a Brazilian licensee was obliged to build — CPF-level KYC, SIGAP real-time reporting, name-matched Pix, exclusion-list screening — are exactly what any re-regulated regime will demand again, so they should be preserved, not written off. And the direction of travel on player protection was unambiguous even in the 'liberal' regime: exclusions for welfare recipients and debtors, health warnings, suspensions for data lapses. A conversion law or re-regulation will start from deposit caps, affordability checks and an advertising ban as the baseline, and B2Tech's product and marketing model should be stress-tested against that, not against the 2025 rulebook.

PAYMENTS, RG, ADVERTISING, ENFORCEMENT — VALUES AND RULES	VALUE / RULE	PERIOD · STATUS · SOURCE
Permitted payment methods (pre-ban)	Pix, TED, debit/prepaid cards, own-name accounts; no credit card, cash, boleto, crypto	Portaria SPA/MF 615/2024 [framework; not re-verified]
Deposits Jan-25–Jun-26	>R$318bn (~$62.7bn); R$582m (~$115m) / day	SIGAP via CNN Brasil
Deposits 2025	R$220.6bn (~$43.5bn)	BNLData
Deposits H1-26	R$88.48bn (~$17.5bn), −12.4% YoY	SIGAP
Payment processing post-MP	**prohibited except wind-down/refunds; Caixa backstop**	**MP 1.394 (from 25 Sep 2026)**
Excluded by rule	~3m Bolsa Família/BPC; 1.2m self-excluded; ~0.8m Novo Desenrola (>5m)	Durigan, 13 Aug 2026
Health allocation (1% of levy) H1-26	R$24.19m (~$4.8m)	SUS telehealth; Sírio-Libanês contract R$2.94m
Ad warning rule	≥10% of ad space, Ministry of Finance warning	Portaria 1.964/2026 (14 Jul 2026)
Advertising / sponsorship	**fully banned**	**MP 1.394**
Football sponsorship affected	~R$1bn (~$197m) p.a.	[secondary]
Illegal domains blocked 2025	~25,000 (15,000 by H1-25)	SPA via Meio & Mensagem / Fenacon
SPA suspensions, 18 Aug 2026	14 sites / 6 operators (SIGAP data failures)	SPA via BNLData / Livescore
SIGAP reporting	5 daily files by 06:00 next day + 1 monthly (balances, IR, allocations, GGR)	BNLData
Maximum administrative fine	up to R$2bn (~$394m)	[secondary]
Enforcement body	Inter-institutional Committee (Fazenda, MJSP, BCB)	MP 1.394

9 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Regulator-verified demand exists at scale and does not need to be built: R$37bn (~$7.3bn) GGR in 2025, R$20.07bn (~$3.96bn) in H1-26, 30.9m unique CPFs, ~95% of demand onshore before the ban. Whoever is licensed when the market reopens inherits a formed customer base with Pix habits and CPF-level KYC already in place. structural
- The fiscal hole is the strongest argument for reopening: fixed-odds delivered R$6.86bn (~$1.35bn) in 9M-26 and the government itself books −R$5.15bn (~$1.02bn) in 2027 and −R$5.33bn (~$1.05bn) in 2028, while sport, tourism, security and education lose up to R$18bn (~$3.55bn) over the licence terms. Congress has 99 amendments and a football lobby pushing a narrower, not a total, ban. structural
- A reopened market would be a culled one: 125 of 158 analysed licensed brands were Brazil-only and will not survive a prolonged shutdown; GGR per brand was already −12.5%. Re-entry would face fewer, larger competitors and cheaper acquisition inventory, with a second outorga acting as a barrier to the sub-scale tail. one-off
- The lottery channel is open and growing: Caixa sales +5.4% to R$12.19bn (~$2.40bn), social allocations +25% to R$5.53bn (~$1.09bn) in H1-26; the MP preserves all 'demais modalidades lotéricas'. Lottery B2G/B2B technology for Caixa and state lotteries, and a possible re-channelling of betting demand through the lotérica network (FEBRALOT is lobbying for it at the STF), is the one regulated route live today. structural
- The judicial check is real: ADI 8027 before Justice Fux raises absence of urgency, legal certainty, acquired rights and uncompensated extinction of paid-for authorisations; a 34-entity hearing was held on 3 Nov. Partial relief — compensation, a phased transition or limits on the extinction — is a plausible outcome even if full suspension is not. early
- Even the pre-ban fiscal terms were workable: a 13% GGR levy rising to 15%, no turnover tax, ~23% effective federal take. A re-regulated levy of 18–20% (the CIDE-Bet range) on a R$30–40bn GGR base would still leave Brazil among the larger profit pools in regulated online gambling — provided online casino survives in some form. structural

▼ LOWLIGHTS

- Total prohibition is in force: all 87 authorisations extinguished within 30 days, R$30m (~$5.9m) outorgas retained by the Treasury 'because already fully paid', sites dark since 6 Oct. The precedent — a five-year licence cancelled by provisional measure at month 21 with no compensation — is a sovereign-risk marker that survives any reopening and must be priced into every Brazil case. governance
- The ban's sponsor won: Lula re-elected 25 Oct (51.79%), the coalition treats prohibition as signature policy, the PT base is threatening street mobilisation against reversal, the budget assumes the ban through 2028, and five weeks in the congressional committee has not even been installed. The base case is that the measure, or a tight successor, holds through 2027. structural
- Payments are the chokepoint and they are closed: banks, payment institutions and Pix/card arrangements may not process fixed-odds transactions. No legal rail exists; residual demand will migrate to crypto and third-party intermediaries, building an illegal channel that will be harder to displace when — if — the market reopens. structural
- Pre-ban fundamentals were already softening: deposits −12.4% to R$88.5bn (~$17.5bn) in H1-26, −42% from the Oct-25 peak by June; GGR per operator −2.6%, per brand −12.5%; Q3 GGR flat QoQ (est.); no World Cup lift. The reopened market would be a maturing ~R$40bn (~$7.9bn) market, not the 'explosion' either side's narrative assumes. structural
- The tax ratchet pre-dates the ban and will outlive it: 12% → 13% (2026) → 14% → 15% (2028) under LC 224/2025, an 18% attempt in 2025, and PL 5.162/2026 proposing a CIDE-Bet at 12–20% progressive. Any conversion law or re-regulation will start from ≥18–20% of GGR, a total advertising ban and deposit/loss limits. structural
- Official data is thin and inconsistent: two SPA extracts give +15.3% and +6.2% growth for the same half-year; no Q3 GGR has been published; the product split is unverified; third-party estimates (Blask, Bradesco BBI) overstate GGR by 1.7–2.5x. Budgeting, valuation and lobbying all rest on numbers that the regulator itself has not reconciled. watch
- Counterparty and contract fallout is immediate: ~R$1bn (~$197m) of football sponsorships torn up, affiliate and supplier contracts void, R$1.7bn (~$335m) of player balances pushed through a bank/Caixa refund chain, and 125 Brazil-only licensees facing insolvency — B2B receivables and integration investments in Brazil are impaired now, whatever happens in 2027. one-off

10 FORECAST & OUTLOOK

Guidance bridge. The 'guidance bridge' here is fiscal, not corporate. Before the MP, BNLData projected FY2026 federal collections from gambling and betting (incl. Caixa lotteries) of R$14.6–15.5bn (~$2.9–3.1bn), consistent with a licensed fixed-odds GGR run-rate of ~R$40bn (~$7.9bn). The MP's own fiscal note deducts R$1.541bn (~$304m) for 2026 — which matches our arithmetic that Q4 collections fall to lottery-only flows of ~R$0.8bn (~$164m) a month, taking FY2026 to ~R$13.5–14.0bn (~$2.7–2.8bn, est.) on top of the R$11.12bn (~$2.19bn) banked by September. For 2027 the government books −R$5.150bn (~$1.02bn) and for 2028 −R$5.330bn (~$1.05bn): in effect the entire federal take from a R$40bn+ fixed-odds market, which tells you the Treasury is planning on prohibition persisting through 2028, not on a quick re-regulation.

FY26 COLLECTIONS — PRE-BAN PROJECTION (BNLDATA, AUG-26)	GOVERNMENT-BOOKED 2026 LOSS FROM MP 1.394	IMPLIED FY26 COLLECTIONS (EST.)	2027 / 2028 LOSS BOOKED BY GOVERNMENT
R$14.6–15.5bn (~$2.9–3.1bn)	**−R$1.541bn (~$304m)**	**~R$13.5–14.0bn (~$2.7–2.8bn)**	**−R$5.150bn / −R$5.330bn (~$1.02bn / ~$1.05bn)**
fixed-odds + Caixa; implied GGR ~R$40bn	Exposição de Motivos §12	9M actual R$11.12bn + lottery-only Q4 ~R$2.5bn	prohibition assumed through 2028; +R$268.8m fees over 3 yrs

Independent view. Our independent view, with probabilities that are judgement rather than data: **(A) 40% — conversion into law with amendments** that reinstate a narrower activity in 2027, most plausibly sports betting only (online casino/slots — the 'tigrinho' products that drove the political backlash — stay banned), with a total advertising and sponsorship ban, deposit/loss limits, affordability checks, a levy of 18–20% of GGR and a new outorga; **(B) 25% — the MP lapses** in February–March 2027 without conversion, Law 14.790 revives and the SPA runs a re-licensing round under a tightened ordinance (the CP 3/2026 text is the template), with first revenues no earlier than H2-27; **(C) 15% — STF partial relief** after the 3 Nov hearing, most likely on compensation or a phased transition rather than outright suspension; **(D) 20% — full prohibition entrenched** through 2028 as the budget assumes, with enforcement shifting to Pix intermediaries and crypto. Under any reopening we would model a licensed GGR base **materially below the 2025–26 run-rate of R$37–40bn (~$7.3–7.9bn)** if casino stays out, an **effective fiscal take of 25–30% of GGR**, acquisition economics reset by the ad ban, and a competitive field of fewer, larger, mostly international groups. **Leverage direction:** down for operators with Brazil exposure (Flutter's −$70m/−$20m is the template; Brazil-only licensees face insolvency), and a R$5bn-a-year hole for the Treasury that is the industry's main lever. **Recommendation for B2Tech: hold, do not fold** — keep the Brazilian entity, SIGAP integration and licensing file alive, engage through ANJL/IBJR in the conversion-law drafting, prepare a sports-only, ad-light product and a lottery B2B offer, and price any capital deployment no earlier than H2-27.

What to watch next quarter:

- STF: any injunction or merits ruling by Justice Fux on ADI 8027 after the 3 Nov public hearing — watch especially for relief limited to compensation/transition rather than suspension.
- Congress: installation of the mixed committee, urgency regime from 9 Nov, the 23 Nov initial deadline and 60-day extension; the text of any conversion bill (sports-only carve-out, ad ban, levy rate, new outorga) and whether the MP is allowed to lapse in Feb–Mar 2027.
- Receita Federal's October 2026 collection analysis (late November): the first post-ban month — expect gambling-code collections to drop to ~R$0.8bn (~$164m) lottery-only; any surprise indicates residual fixed-odds settlements or lottery substitution.
- PL 5.162/2026 (CIDE-Bet, 12–20% of GGR) and the PLOA 2027 / bimonthly revenue reports — they reveal the fiscal terms a reopened market would face and whether the Treasury changes its prohibition-through-2028 assumption.
- Refund completion of the R$1.7bn (~$335m) of player balances via banks and Caixa, and insolvencies or litigation among the 125 Brazil-only licensees; supplier receivables exposure.
- Illegal-market indicators: Blask index, Anatel blocking statistics, Central Bank/COAF actions against Pix intermediaries and crypto on-ramps serving offshore operators; the Inter-institutional Committee's first enforcement cases.
- Football-club finances and sponsorship litigation (Flamengo and others), which drive the congressional amendments; Febralot/Caixa proposals to re-channel betting through the lotérica network; moves by state lotteries after the state-concession prohibition.
- The SPA's institutional future: staffing, the outcome of Public Consultation 3/2026 on a revised authorisation procedure, and whether the 2025–26 Regulatory Agenda is formally withdrawn — a signal of whether the government is keeping a regulator on standby.

DATA CONFIDENCE: MEDIUM FX: USD/BRL 5.07, implied from contemporaneous press conversions on the release date (22–23 Oct 2026: R$1.206bn = US$237.8m; R$11.12bn = US$2.2bn); the official BCB PTAX could not be retrieved in this session, so USD figures are approximate (~). Primary documents read directly: MP 1.394/2026 Exposição de Motivos (Câmara), Ministry of Finance/SPA transition timetable (gov.br), STF and TSE notices (via search content). Receita Federal's September 2026 report was not fetched directly (tool outage) — its figures (R$11.116bn 9M, R$1.206bn Sept, R$3.72bn/R$3.14bn fixed-odds split) are corroborated across BNLData, Yogonet, Poder360, focusgn and TheGamblest quoting the RFB presentation. SPA GGR/deposit data come from two LAI releases (BNLData 17 Aug; SIGAP extract 8 Sep via CNN/brmkt.co/STF filing) that do NOT reconcile on the H1-25 base (R$17.4bn vs R$19.09bn) — both are shown. Not verified / flagged: Q3-26 and 9M-26 GGR (modelled from RFB allocations); the Q1-26 sports/online-games split (BNLData headline, definition unverified); Portaria SPA/MF 615/2024 payment rules, Portaria 1.231/2024 ad rules and the ≥20% Brazilian-shareholder requirement (framework knowledge, not re-verified this session); the R$2bn maximum fine (secondary, Mixvale); football sponsorship R$1bn (secondary, Latin Times); Blask market shares are demand proxies, not GGR; sunk outorga capital ~R$2.6bn is an estimate (87 × R$30m). Overall data confidence: MEDIUM — High on the legal/political facts, Medium on market size, Low on product split and Q3.

Sources: [Primary] Ministério da Fazenda / SPA — 'Medida Provisória n° 1.394/2026: entenda as novas regras para as apostas de quota fixa' (transition timetable, 2–7 Oct 2026); [Primary] Câmara dos Deputados — MP 1.394/2026, Exposição de Motivos (fiscal impact §12, rationale); [Primary] Diário Oficial da União — Medida Provisória nº 1.394, de 25 de setembro de 2026; [Primary] STF Notícias — 'STF realizará audiência pública sobre MP das bets' (ADI 8027, 27 Oct 2026); [Primary] STF Notícias — 'STF divulga cronograma de audiência pública sobre proibição das bets' (28 Oct 2026); [Primary] STF — Audiências Públicas portal (ADI 8027 hearing 3 Nov 2026); [Primary] TSE — 'Presidente do TSE anuncia reeleição de Lula' (run-off result, 25 Oct 2026); [Primary] Agência Brasil — 'MP do fim das bets tramita no Congresso e fixa prazo de saque' (R$1.7bn balances; 120-day clock); [Primary] Senado Notícias — 'CAE aprova aumento da tributação para bets e fintechs' (2 Dec 2025); [Primary] Receita Federal — Relatório Mensal de Arrecadação (Análise da Arrecadação, Setembro 2026; index page — report not fetched directly); [Primary] SPA/MF manifestation to the STF (Poder360 upload, 28 Sep 2026) — SIGAP GGR/deposit series Jan-25–Jun-26; [Secondary] BNLData — 'Brazilian Federal Revenue Service collects R$11.12 billion from betting and gambling between January and September' (23 Oct 2026); [Secondary] BNLData — 'Gross revenue from regulated betting in Brazil reaches R$20.07 billion in the first half of 2026' (SPA data via LAI, 17 Aug 2026); [Secondary] BNLData — 'Loterias CAIXA crescem 5,4% no primeiro semestre e ampliam destinações sociais em 25%' (10 Sep 2026); [Secondary] BNLData — 'Analysis: Gross revenue from sports betting in Brazil advances 1.7%' (Q1-26); [Secondary] BNLData — 'FactCheck: relatório do Bradesco BBI superestima em 2,5x o GGR das bets no Brasil'; [Secondary] BNLData — 'Casas de apostas repassam dados ao governo e suspensão por falhas alerta

mercado' (SIGAP mechanics); [Secondary] TheGamblest — 'Brazil betting taxes hit R$11.1bn in 9 months' (lead article, 23 Oct 2026); [Secondary] Yogonet Brasil — 'Receita Federal arrecada mais de R$ 11 bilhões com apostas e jogos de azar até setembro'; [Secondary] Poder360 — 'Governo arrecada R$ 11,1 bilhões com bets de janeiro a setembro'; [Secondary] Focus Gaming News — 'Bets arrecadam R$ 1,2 bi em setembro e já superam 2025, mas MP ameaça a receita' (USD conversions used for FX); [Secondary] Focus Gaming News — 'MP que proíbe bets se aproxima do regime de urgência sem comissão instalada'; [Secondary] Focus Gaming News — 'Congresso recebe 99 emendas à MP que proíbe bets no Brasil'; [Secondary] Focus Gaming News — 'Câmara avança com projeto que cria novo tributo de até 20% sobre bets' (PL 5.162/2026, CIDE-Bet); [Secondary] Focus Gaming News — 'Global gambling operators count the cost of Brazil's online betting ban' (Flutter guidance); [Secondary] SiGMA World — 'Mercado de apostas do Brasil cresce 6,2% no primeiro semestre' (brmkt.co on SIGAP extract 8 Sep 2026); [Secondary] CNN Brasil — 'Média de depósitos em bets no Brasil era de R$ 582 milhões por dia' (SIGAP via LAI); [Secondary] iGaming Business — 'First year of licensed Brazil online betting generates $7 billion in GGR' (SPA FY2025); [Secondary] iGaming Business BR — 'Luiz Fux acata pedido da AGU e inclui opositores das bets na audiência pública do STF'; [Secondary] iGaming Business BR — 'Secretaria de Prêmios e Apostas abre consulta pública para novas regras das bets' (CP 3/2026); [Secondary] Blask — 'Brazil's licensed iGaming market is large. The tail stays thin' (Jan–Aug 2026 shares); [Secondary] TheGamblest — 'Blask Weekly Digest: Brazil's demand drops to 2022 levels' (Sep-26 shares); [Secondary] TheGamblest — '188 operators shut down in Brazil, 125 had no other market' (Blask); [Secondary] Mattos Filho — 'Tributação das bets no Brasil: desafios e oportunidades' (LC 224/2025 13/14/15%); [Secondary] Demarest — Client Alert 'Lei Complementar nº 224/2025' (Jan 2026); [Secondary] Cescon Barrieu — 'MP 1.394/2026: novas regras para Bets e os impactos para instituições financeiras'; [Secondary] CNN Brasil — 'Relator retira aumento da taxação sobre bets da MP alternativa ao IOF' (Oct 2025, 18% dropped); [Secondary] Brasil247 / O Globo — 'Reserva de R$ 1,9 bilhão no Orçamento pode absorver impacto fiscal do fim das bets em 2026'; [Secondary] Meio & Mensagem — 'Regulação das bets: 25 mil sites bloqueados e receita de R$ 37 bi' (SPA 2025 balance); [Secondary] Atlas Público — 'SPA abre consulta pública sobre regras para autorização' (CP 3/2026; Portaria 1.964/2026 ad warnings); [Secondary] Exame — 'O que muda com a proibição das bets no Brasil?'; [Secondary] Latin Times — 'Brazil's betting ban just torched $200M in football sponsorships' (secondary; sponsorship exposure); [Secondary] Mixvale — 'Lula assina MP 1.394/2026 que proíbe bets com multa de até R$ 2 bilhões' (secondary; fine ceiling); [Secondary] Yogonet Brasil — 'Esquerda mobiliza apoiadores contra possível volta das bets' (3 Nov 2026); [Secondary] Yogonet Brasil — 'FEBRALOT pede participação em audiência do STF e defende concorrência no mercado de loterias'.

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